Global Economic Prospects

WORLD BANK GROUP

HIGHLIGHTS from Chapter 1: THE GLOBAL OUTLOOK

Key Points

- *Global growth is expected to slow to 2.5 percent in 2026, weaker than previous forecasts, before firming to 2.8 percent in 2027–28.*
- *Amid surging energy prices, disruptions to commodity markets, and elevated uncertainty, growth in emerging market and developing economies (EMDEs) is projected to slow markedly, especially in commodity importers and those directly affected by the conflict.*
- *Successive shocks since 2019, including the ongoing energy crisis, have weighed on per capita income growth. EMDEs excluding China and India are on course to experience nearly a decade of lost convergence toward advanced-economy income levels.*
- *Risks to the outlook are tilted to the downside. In particular, prolonged disruptions in the Strait of Hormuz leading to further increases in energy prices and inflationary pressure, and accompanied by financial stress, could leave global growth at just 1.3 percent in 2026.*
- *Enhanced global cooperation is needed to safeguard energy and food security, bolster the trading system, and advance the energy transition.*
- *In many EMDEs, policy makers will need to balance controlling inflation with supporting activity, and make efforts to strengthen fiscal sustainability.*
- *Bolstering growth and job creation for rising working-age populations requires a concerted agenda centered on investing in physical, human, and digital capital; fostering a business-friendly environment; and mobilizing private investment.*

Global activity: weaker growth amid soaring energy prices. The global outlook has deteriorated, reflecting surging energy prices, disruptions to commodity markets, elevated uncertainty, and tighter monetary conditions. Global growth is expected to decline to 2.5 percent this year, with nearly two-thirds of economies facing weaker prospects (figure A). Over 2027–28, global growth is expected to firm to 2.8 percent as energy prices decline, commodity markets normalize, financial conditions ease, and trade picks up. The downgrade this year is driven largely by emerging market and developing economies (EMDEs), especially commodity importers and those directly affected by the conflict (figure B). Nevertheless, several pockets of resilience remain, including robust growth in the United States, strong AI-related investment, and positive trade developments, such as new trade agreements and other unilateral initiatives.

EMDE outlook: broad-based slowdown. Growth in EMDEs is projected to slow to 3.6 percent in 2026—0.4 percentage point below January projections—before firming to 4.2 percent in 2027–28. The slowdown is expected to vary with exposure to the conflict and related disruptions. China is anticipated to decelerate, reflecting declining potential growth, although it remains relatively insulated in the near term, supported by strategic reserves, a large share of renewables, and subdued inflation. Excluding China, EMDE growth is forecast to slow from 3.9 percent in 2025 to 3.2 percent in 2026, before accelerating to about 4.1 percent in 2027–28 as energy prices ease, financial conditions improve, and trade recovers. Progress in narrowing per capita income gaps with advanced economies has stalled across many EMDEs, especially outside China and India, pointing to nearly a lost decade of convergence (figure C). EMDEs face a substantial jobs challenge, with about 1.2 billion young people expected to reach working age by 2035.

Risks to the outlook: tilted firmly to the downside. The outlook is subject to substantial downside risks. Growth could be weaker if energy prices surge again amid prolonged disruptions in the Strait of Hormuz and inflation accelerates further, with the impact amplified by financial stress. Other downside risks include renewed hostilities in the Middle East or geopolitical flare-ups elsewhere; escalating trade tensions and policy uncertainty; tighter global financial conditions amid rising inflation or fiscal concerns; equity market corrections, particularly in the technology sector; and more frequent weather-related disasters. On the upside, increased spending on AI-related investment that broadens across geographies could boost global growth in the short run. In the longer term, higher productivity related to effective AI adoption could raise global growth (figure D).

Growth in alternative scenarios: resumption of energy supplies is key. In the baseline, the most acute supply disruptions related to the conflict end relatively soon. If the Strait of Hormuz is effectively closed to shipping for longer, or if energy production capacity in the Middle East is further degraded, energy prices may far exceed baseline projections. In a scenario where prolonged disruption leads to the Brent oil price averaging $115/bbl in 2026, global growth could underperform by 0.4 percentage point (figure E). The impacts could be further exacerbated if a rise in oil prices stokes financial market volatility. In this case, global growth could undershoot the baseline by 1.2 percentage point.

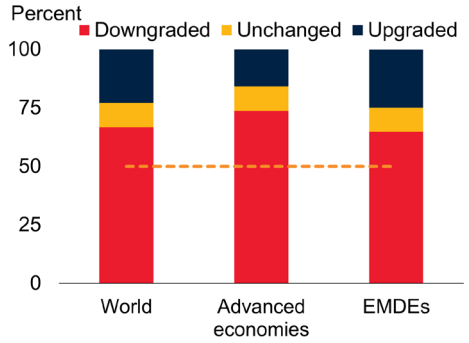
Global policy challenges: mitigate food insecurity, diversify trade, and support energy transition. The conflict in the Middle East is set to exacerbate food insecurity, warranting coordinated global action to bolster emergency food aid mechanisms (figure F). Global cooperation is also needed to bolster multilateral trading arrangements, deepen and diversify trade partnerships, and modernize cross-border investment frameworks, alongside efforts to enhance supply chain finance to ease liquidity constraints and reduce non-tariff barriers within regional value chains. Accelerating the energy transition is key to addressing environmental and energy security challenges.

Near-term domestic policy challenges: calibrate monetary policy and protect fiscal space. EMDE central banks will need to calibrate policy to promote price stability while limiting the drag on growth, alongside heightening vigilance to financial stability risks due to shifts in risk appetite. Fiscal policy makers need to protect already limited fiscal space amid mounting challenges such as elevated debt and borrowing costs, spending on security needs and higher energy prices. Weak revenue mobilization, particularly in LICs, is adding to debt sustainability concerns.

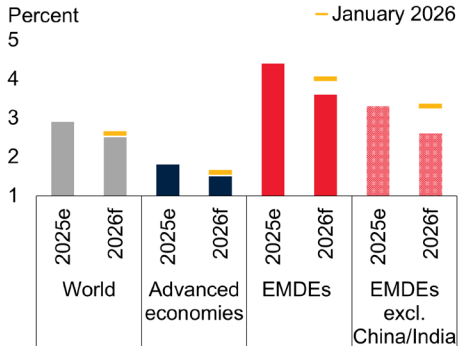
Structural policy challenges: job creation amid AI impacts, and energy security. EMDEs face a major jobs challenge as 1.2 billion young people are expected to reach working age by 2035. This challenge comes as the effects of AI technologies on labor markets are still unfolding and likely to be uneven across EMDEs. Policy makers can tackle the jobs challenge through a steadfast commitment to the fundamentals of long-term growth and job creation. These include greater food and energy security, better foundational infrastructure, practical diffusion of technology, and openness to trade and diversification, all underpinned by fiscal discipline, strong institutions, enabling regulation, investment in human capital, and the catalytic role of private capital mobilization.

Figure 1. Global growth prospects and risks

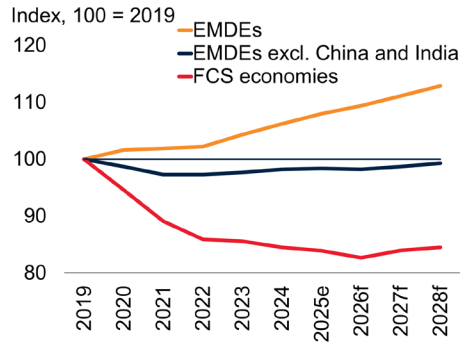
A. Share of economies by 2026 forecast revisions relative to January



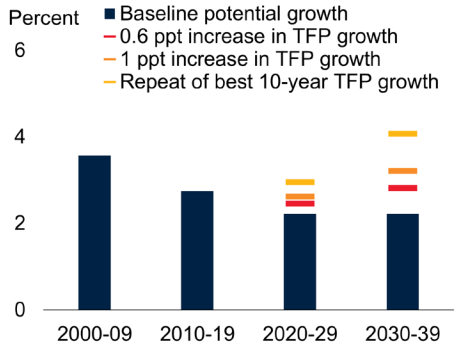
B. Growth by country group relative to January



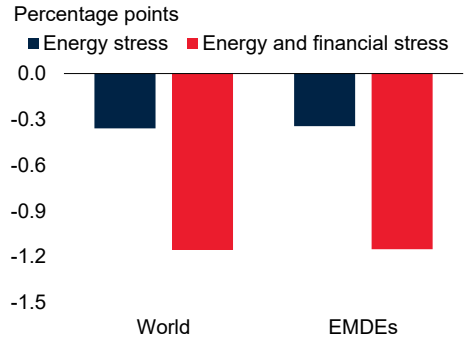
C. Level of per capita GDP as a share of advanced economies



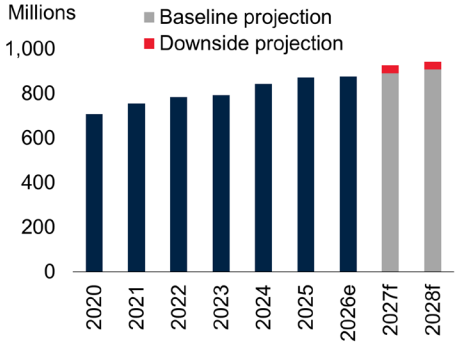
D. Global potential growth scenarios



E. Change in growth in 2026 in alternative scenarios



F. Number of people experiencing severe food insecurity



Sources: Andree, B.P.J. (2023) ; Bloomberg ; Oxford Economics; World Bank; World Food Security Outlook (database).
Note: AI = artificial intelligence. e = estimate; f = forecast. EMDEs = emerging market and developing economies. Excl. = excluding. FCS = fragile and conflict-affected situations. FCS country group based on current World Bank FCS classification.
A. The share of economies by group and type of forecast revision in the current edition of the *Global Economic Prospects* report compared to the January 2026 report. The dashed orange line shows 50 percent.
B. Projected annual GDP growth by group, aggregated using real U.S. dollar GDP weights at average 2010-19 prices and market exchange rates. Bars show the current edition of the *Global Economic Prospects* report; yellow markers show the January 2026 edition.
C. Lines show per capita GDP by country groups as a share of advanced economies' per capita GDP, indexed to 2019 = 100. GDP per capita is calculated as aggregated GDP divided by the aggregate population, group aggregates computed using real U.S. dollar GDP weights at average 2010-19 prices and market exchange rates.
D. Averages, weighted by gross domestic product (GDP), of production function-based estimates of potential growth. Sample includes 31 advanced economies and 52 EMDEs. Markers show the predicted impact of each scenario on global potential growth.
E. Panel shows the deviation of aggregate growth in scenarios produced using Oxford Economics' Global Economic Model.
F. Blue bars show the population facing severe food insecurity. Grey (grey plus red) bars show the World Food Security Outlook's baseline (downside) projection as of April 2026. Figure shows total for 152 EMDEs excluding China.

TABLE 1.1 Real GDP [1]

(Percent change from previous year unless indicated otherwise)

							Percentage point differences from January 2026 projections	
	2023	2024	2025e	2026f	2027f	2028f	2026f	2027f
World	**2.8**	**2.9**	**2.9**	**2.5**	**2.8**	**2.8**	**-0.1**	**0.1**
Advanced economies	**1.6**	**1.8**	**1.8**	**1.5**	**1.8**	**1.7**	**-0.1**	**0.2**
United States	2.9	2.8	2.1	2.2	2.1	2.0	0.0	0.2
Euro area	0.5	1.0	1.4	0.8	1.3	1.3	-0.1	0.1
Japan	0.7	-0.2	1.1	0.7	0.9	0.8	-0.1	0.1
Emerging market and developing economies	**4.3**	**4.4**	**4.4**	**3.6**	**4.2**	**4.1**	**-0.4**	**0.1**
East Asia and Pacific	5.2	5.0	5.0	4.2	4.4	4.3	-0.2	0.1
China	5.4	5.0	5.0	4.2	4.3	4.2	-0.2	0.1
Indonesia	5.0	5.0	5.1	5.0	5.2	5.2	0.0	0.0
Thailand	2.2	2.9	2.4	1.7	2.1	2.4	-0.1	-0.4
Europe and Central Asia	3.6	3.9	2.5	2.1	2.3	2.6	-0.3	-0.4
Russian Federation	4.1	4.9	1.0	0.8	0.7	0.7	0.0	-0.3
Türkiye	5.0	3.3	3.6	2.8	3.7	4.3	-0.9	-0.7
Poland	0.2	3.2	3.6	3.1	2.6	2.9	-0.1	-0.3
Latin America and the Caribbean	2.3	2.3	2.3	2.2	2.5	2.6	-0.1	-0.1
Brazil	3.2	3.4	2.3	1.9	2.0	2.2	-0.1	-0.3
Mexico	3.1	1.4	0.6	1.3	1.7	1.9	0.0	-0.1
Argentina	-1.9	-1.3	4.4	3.6	3.7	3.5	-0.4	-0.3
Middle East, North Africa, Afghanistan, and Pakistan	2.0	2.9	4.0	1.6	5.0	4.0	-2.7	0.7
Saudi Arabia	0.5	2.6	4.5	3.1	4.9	3.7	-1.2	0.5
United Arab Emirates	4.3	6.6	6.2	2.4	4.1	4.2	-2.6	-1.0
Egypt, Arab Rep. [2]	3.8	2.4	4.4	4.6	4.0	4.6	0.3	-0.8
South Asia	6.6	6.8	7.0	6.3	6.9	7.1	0.1	0.4
India [2]	7.2	7.1	7.7	6.6	7.2	7.0	0.1	0.6
Bangladesh [2]	5.8	4.2	3.5	3.8	4.6	5.5	-0.8	-1.5
Sri Lanka	-2.0	5.0	5.0	3.6	3.8	3.9	0.1	0.7
Sub-Saharan Africa	3.0	3.8	4.1	4.0	4.4	4.5	-0.3	-0.1
Nigeria	3.3	4.1	4.0	4.1	4.2	4.3	-0.3	-0.2
South Africa	0.8	0.5	1.1	1.0	1.5	1.7	-0.4	0.0
Ethiopia [2]	7.2	8.1	9.2	8.0	6.9	8.4	0.9	-0.8
Memorandum items:								
Real GDP [1]								
High-income countries	1.7	1.9	1.9	1.5	1.9	1.8	-0.2	0.1
Middle-income countries	4.7	4.5	4.6	3.9	4.3	4.3	-0.3	0.0
Low-income countries	1.2	3.7	5.0	5.4	5.6	5.4	-0.3	0.0
EMDEs excluding China	3.6	4.0	3.9	3.2	4.1	4.1	-0.6	0.1
Commodity-exporting EMDEs	2.9	3.5	3.3	2.4	3.5	3.3	-0.9	0.1
Commodity-importing EMDEs	5.0	4.8	4.8	4.2	4.5	4.5	-0.2	0.1
Commodity-importing EMDEs excluding China	4.3	4.5	4.5	4.1	4.7	5.0	-0.2	0.0
EM7	5.2	4.9	4.6	3.9	4.2	4.2	-0.2	0.1
World (PPP weights) [3]	3.2	3.4	3.5	2.9	3.4	3.4	-0.3	0.1
World trade volume [4]	**0.4**	**3.8**	**4.8**	**2.9**	**3.3**	**3.1**	**0.7**	**0.6**
							Level differences from January 2026 projections	
Commodity prices [5]								
WBG commodity price index	108.0	105.1	98.4	119.8	104.5	96.4	28.9	10.4
Energy index	106.9	101.5	90.0	119.6	98.4	85.9	39.7	13.5
Oil (US$ per barrel)	82.6	80.7	69.0	94.0	76.0	65.0	34.0	11.0
Non-energy index	110.2	112.5	115.4	120.2	116.7	117.7	7.1	4.0

Source: World Bank.

Note: e = estimate; f = forecast. EM7 = Brazil, China, India, Indonesia, Mexico, the Russian Federation, and Türkiye; WBG = World Bank Group. World Bank forecasts are frequently updated based on new information. Consequently, projections presented here may differ from those contained in other World Bank documents, even if basic assessments of countries' prospects do not differ at any given date. For the definition of EMDEs, developing countries, commodity exporters, and commodity importers, please refer to table 1.2. The World Bank is currently not publishing economic output, income, or growth data for República Bolivariana de Venezuela owing to lack of reliable data of adequate quality. República Bolivariana de Venezuela is excluded from cross-country macroeconomic aggregates.

1. Headline aggregate growth rates are calculated using GDP weights at average 2010-19 prices and market exchange rates.
2. GDP growth rates are on a fiscal year (FY) basis. Aggregates that include these countries are calculated using data compiled on a calendar year basis. For India, the column for 2023 refers to FY2023/24. For Bangladesh, and the Arab Republic of Egypt, and Ethiopia, the column for 2023 refers to FY2022/23.
3. World growth rates are calculated using average 2010-19 purchasing power parity (PPP) weights, which attribute a greater share of global GDP to emerging market and developing economies (EMDEs) than market exchange rates.
4. World trade volume of goods and nonfactor services.
5. Indexes are expressed in nominal U.S. dollars (2010 = 100). Oil refers to the Brent crude oil benchmark. For weights and composition of indexes, refer to https://worldbank.org/commodities.